



Working with Family and Friends

You can make a success of your business by working with family and friends who share your vision. However, it is advisable to set rules and boundaries that keep your working relationships professional.

Working together

There are many advantages to working with family and friends. You know and trust each other and can be more relaxed. You all have a vested interest in the business, shared values, and a shared desire to succeed, which often means that

team members are more flexible and more willing to make sacrifices than other employees might be. Yet to avoid misunderstandings that could damage that bond and lead to resentment or disappointment, it is important to set guidelines and put processes in place early on.

Facing issues

Start by gathering your team together and asking everyone to write down their hopes for the new business—and their concerns. Discussing these points, which are likely to vary, leads to a greater awareness of everyone's perspective.

Agreeing the rules

The bonds you share with family and friends are intensely personal, so working with them is both a pleasure and a challenge. Agreeing on roles and settling on job descriptions is an important first step. You must also decide practical details, such as vacation time and how expenses will be claimed. Discussing your goals can help cement the team, but you will need to be able to address disputes, too.



Agree on roles

Try to be objective and think about what value each friend or family member is adding. They may be providing finances, or perhaps they came up with the idea for a new product or service, or have useful access to contacts. Knowing the strengths of each team member will help you and others plan what they should do. Agree on roles with them and create job descriptions as you would for any other employee.



Create formal processes

Consult your team members and agree to guidelines on how the business will run. These may include voting rights, rewards, vacation time, and how expenses will be claimed. They should also cover what will happen in the event of a dispute, such as two people wanting to take their vacation at the same time, which is not uncommon in family businesses. Once decided, put the agreement in writing.